



Venture Capital and Entrepreneurial Management MGMT 264

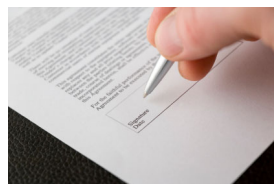
Negotiating the Preferred Stock Term Sheet

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A Term Sheet

What Is It?

- What is a term sheet?
 - A letter of intent that summarizes the key economic, financial, governance, and legal terms of a potential venture capital investment
- A term sheet is usually
 - A strong indicator of the VC's intent to go forward with a financing
 - Usually prepared by the VC (not the company)
 - Typically not legally binding
- Although there are strong conventions, term sheets are **negotiable**
 - The challenge is to understand the conventions and the mainstream practices



Term Sheets

Behind the Term Sheet

- The key business issues (*before even looking at the legal terms*)
 - **What quality of fund is investing?**
 - There are "tiers" of VCs in the venture community mostly based on deal flow and success rates
 - Today more than ever, VCs do more than sell money. What other values/resources does the VC firm bring that meet the company's objectives?
 - E.g., domain expertise; record of follow-on financing in the next round; rolodex; recruiting capability; gov't access; reputation; board member chemistry, etc.



Behind the Term Sheet

These firms have the most partners featured in our ranking of the top 100 venture capitalists: CB Insights and NYT, March 2019

SEQUOIA 

 **FOUNDERS FUND**

BENCHMARK

BESSEMER
VENTURE PARTNERS

ACCEL
PARTNERS

 **INSTITUTIONAL**
VENTURE
PARTNERS

 **Index**
Ventures

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Term Sheets

Behind the Term Sheet

☐ Does the VC business model suit your objectives?

- Traditional model: single champion, usually a partner, within the VC firm; often with access to a wide range of resources.
 - E.g., Kleiner Perkins, Sequoia Capital, etc.
- Agency model: services beyond money (executive search, market strategy, PR, strategic partnerships, business development, etc.).
 - E.g., Andreessen Horowitz ("Team"), NEA ("Portfolio Services")
- Community model: expertise and mentoring through a communications platform that includes portfolio CEOs, founders and other executives within the whole portfolio.
 - E.g., First Round (annual "State of Startups" survey)

☐ Is the nature of the investor right for the stage of financing?

- This has become an increasingly complicated question.
- Some large institutional VC firms come down the food chain to make seed and even pre-seed investments.
- Many angels, microVCs and accelerators act as feeder firms for institutional VCs

☐ Know your VC!



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Term Sheets

Behind the Term Sheet

Negotiation strategies also matter.

- **For entrepreneurs:** Always try to get more than one VC bidding on your financing round.
 - ☐ Investment terms get lots better if multiple VCs know they are competing to get the deal
- **For VC investors:** Be prepared with a sensitivity analysis and understand the implications of negotiating valuation (i.e., company ownership) for your targeted rate of return.
 - ☐ More on sensitivity graphs later in the class
- **For both:** Valuation is almost always negotiated, with possible tradeoffs reflected in other investment terms.

NEGOTIATING IS EXPECTED!

Do it as hard as possible, but do not create animosity, bc they will be your partner.

VCs like that you negotiate hard



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Term Sheets

Behind the Term Sheet

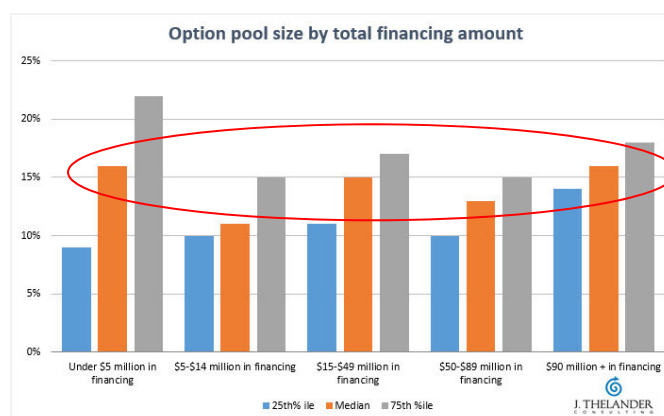
❖ The key business issues

- ❑ Who are the existing investors? Are they putting more money in?
- ❑ What does the term sheet say about the new investor?
 - Simplicity is good; complexity can be a sign of VC inexperience
 - One-page term sheets from top-tier firms are common
 - Conventional terms v. “outlier” terms—assessment at a glance
 - ❑ Liquidation preferences; anti-dilution; vesting; etc.
- ❑ Does the valuation offered by the VC make sense to the founders?
 - Is the pre-money valuation too low?
 - Is the pre-money valuation too high?
 - How will the company's cap table “work” as more stock is issued for other purposes?
 - I.e., some VC firms won't take less than a 20% equity stake
- ❑ Setting up the capital structure and the peril of “dead equity”



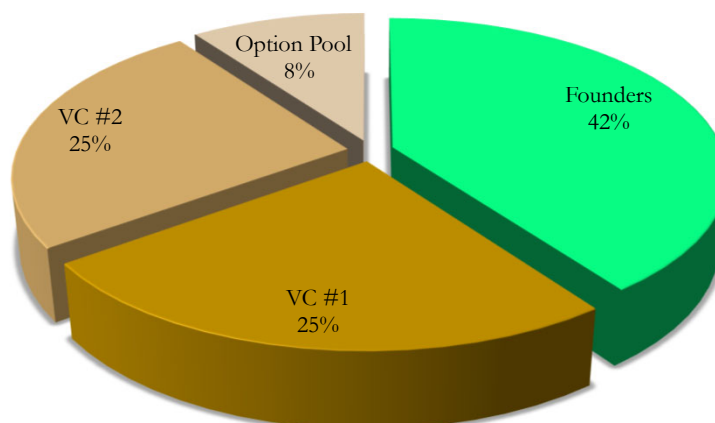
Term Sheets

Option Pools



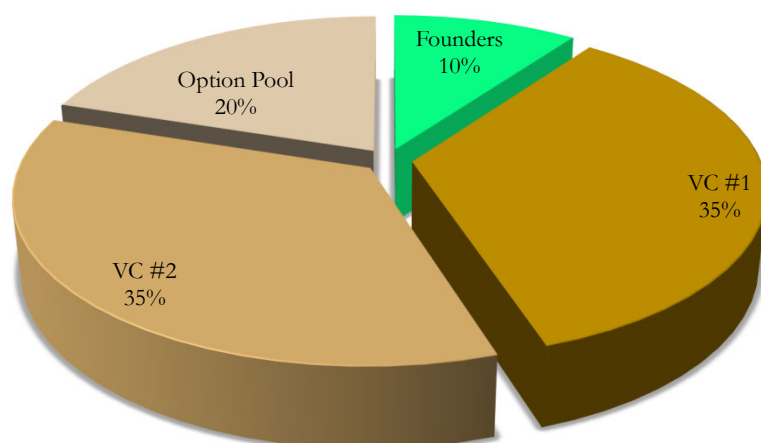
Does this Capital Structure “Work”?

Proposed Series A Financing Structure #1



Does this Capital Structure “Work”?

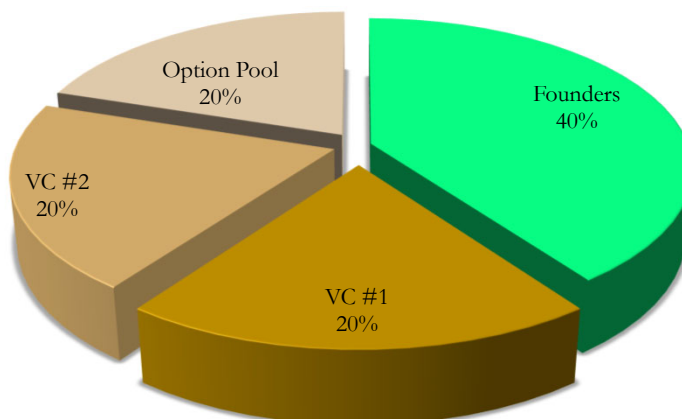
Proposed Series A Financing Structure #2



Does this Capital Structure “Work”?

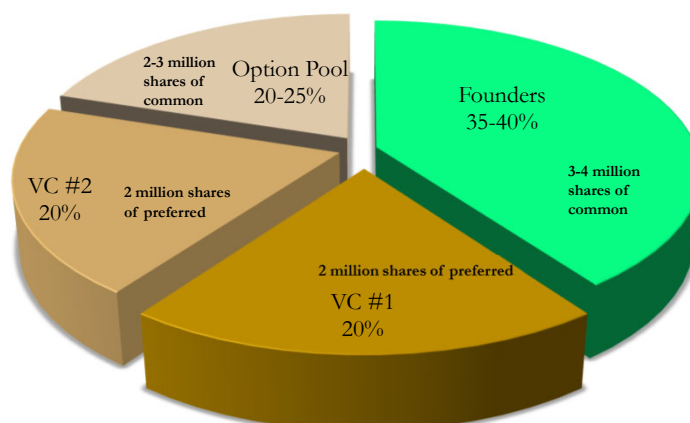
Proposed Series A Financing Structure #3

As a VC an investor usually insists getting at least 20%



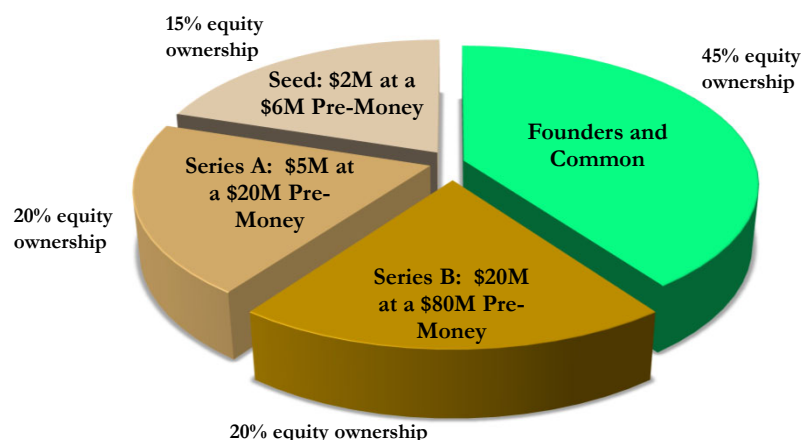
Does this Capital Structure “Work”?

Series A Financing Structure #3, with Normative Capital Structure in Shares



Does this Capital Structure “Work”?

(Think about the Economics behind the Cap Table)



Negotiating the Term Sheet

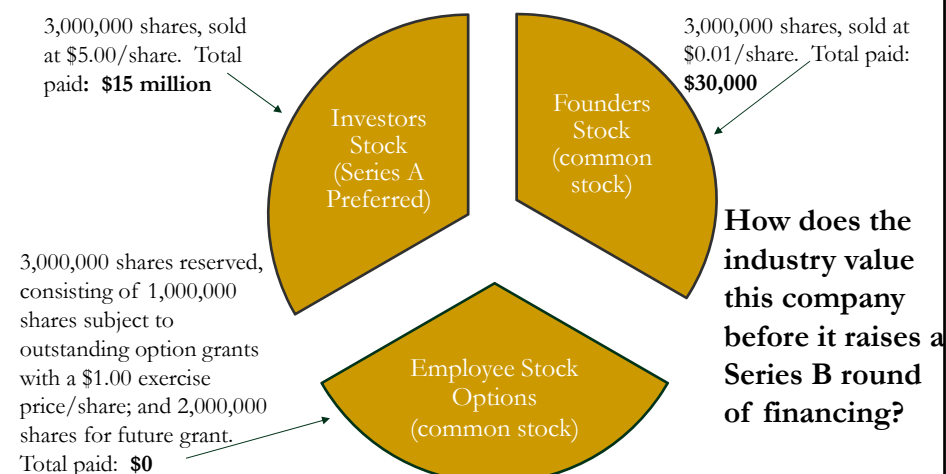
Valuation

❖ Valuation

- ❑ This is as much an art as a science.
 - It may begin with the usual financial methodologies, but rapidly expands into subjective, non-financial areas.
 - VCs do valuations for a living. Founders don't. So founders need to do homework to level the playing field.
- ❑ Exogenous factors, such as market and industry norms, play important roles.
 - Comparable company valuations are important (but what is “comparable”?).



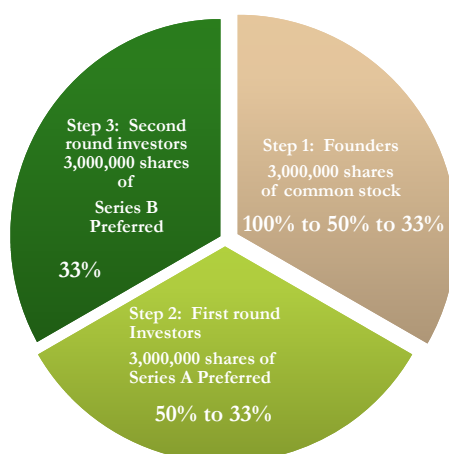
What Does Pre-Money Valuation Mean? The Simple, Universal Construct



Post-money: 45M

You include the stocks in the pool, including the options. This is bc at a liquidity event most options will have been vested, and will be in the money

What Do We Mean by Transaction Dilution?



Dilution by Round

(normative, estimated, guidelines only)*

Round	Dilution percentage to the fully diluted capital
Seed	15-25%
Series A	25-50%
Series B	15-25%
Series C+	10-20%

*Not to be trusted, wide variables, etc.

Negotiating the Term Sheet

Company Control



- ❖ **Statutory control—cannot be waived or amended**
 - Under Delaware law and absent any contractual voting rights
 - Many actions that require stockholder approval (e.g., M&A, financings, etc.) can be approved by 50% of the outstanding share capital (i.e., which means both Common and Preferred shares vote together as a single class)
 - As a matter of the corporate statute (e.g., amending a term in the articles of incorporation)
 - Preferred stock in VC financings usually votes initially on a 1:1 basis (i.e., 1 vote per share on an as-if-converted to common). But do Preferred shares vote series by series, or all series together as a single class of stock?
 - A separate series of Preferred shares (e.g., Series C) is required to have a separate vote (i.e., a potential veto) **if, and only if, that series is treated adversely relative to the other outstanding series of the class**
 - But if all outstanding series are impacted equally by the proposed change of terms, the negotiation may require all series to vote together as a single class (e.g., Series A + B + C together)

Negotiating the Term Sheet

Company Control



- ❖ **Contractual control—can be waived or amended**
 - ❑ As a matter of legal contract
 - **Protective Covenants** Contained in the Articles of Incorporation
 - ❑ Specify particular corporate matters on which VC shareholders may have special voting power (e.g., via a class or series vote), in addition to any rights as board members
 - ❑ West Coast funds tend to focus on special shareholder voting regarding strategic matters
 - E.g., mergers and sales, amendments to articles, financing transactions, issuances of senior securities
 - ❑ Some East Coast funds tend to want shareholder control over a broader spectrum of matters
 - E.g., incurrence of debt; approval of operating budget; changes in business objectives; change in the CEO; approval of D&O insurance, etc.
 - **Drag-along rights**
 - ❑ Legal rights given to major investors to force the holders of common stock and minority investors to vote in favor of an M&A transaction that has been approved by the major investors.
 - ❑ Legal enforceability may be questionable

Negotiating the Term Sheet

Company Control

- ❖ **Board Control: Composition of the board; majority vote required**
 - ❑ Boards in private companies are usually not more than about 5-7 directors
 - Usually a balance of VCs, founders, and "outside" directors (i.e., not company- or investor-related)
 - Does an odd or even number of directors matter?
 - ❑ VCs who invest in a single series of preferred stock are usually given a guaranteed right to appoint one or more directors on the Board
 - Typically included as one of the rights and preferences of the series of Preferred Stock sold in the financing
 - ❑ Board "observer rights" (i.e., not voting) as an alternative to an actual seat
 - Corporate VCs will frequently accept Board observer rights as a means of mitigating potential conflict of interest
 - ❑ Chemistry and commitment

BOARDS

Trust is key, especially in early stages and when there is a bump in the road.

Sometimes a VC, might want more seats, and a founder could reply by giving them an observer seat

Negotiating the Term Sheet

Company Control

- Whose Vote Is Required for Different Corporate Events

	Shareholders	Board
Amend the Articles of Incorporation	☺	☺
Authorizing financings	☺	☺
Issuance of shares		☺
M&A exits	☺	☺
Setting up the stock or stock option plan	☺	☺
Pricing and granting stock or stock option		☺
Determining executive compensation		☺
Annual budgets and forecasts		☺

Voting of Preferred Stock

- Common stock: 1 share equals 1 vote
- Preferred stock: 1 share equals 1 vote--initially
 - All shares initially are convertible into common on a 1:1 basis
 - Thus, 1 share of Preferred = 1 "as-if-converted-to-common" share (i.e., "common equivalent share")
 - But:** If the conversion ratio changes (e.g., stock split, anti-dilution formula, etc.), then the common equivalent shares change too
 - Thus, with a 2:1 stock split of the common stock, 1 share of Preferred = 2 common equivalent shares = 2 votes

Negotiating the Term Sheet

Background: Converting Preferred to Common

$$\text{Conversion Ratio} = \frac{\text{Purchase Price}}{\text{Conversion Price}}$$

Example:

- Series A is issued for a price of \$3.00 per share.
- The initial conversion ratio is:

$$\frac{\$3.00 \text{ purchase price}}{\$3.00 \text{ deemed conversion price}} = \text{Conversion ratio of 1 share of common for 1 share of preferred}$$

- Now the company effects a 3:1 stock split of the common stock.
- The adjusted conversion ratio resulting from the split is:

$$\frac{\$3.00 \text{ purchase price}}{\$1.00 \text{ adjusted conversion price}} = \text{Conversion ratio of 3 share of common for 1 share of preferred}$$

Negotiating the Term Sheet

Why Is the Conversion Ratio Important?

The relevance of the conversion ratio:

- Liquidation preference
- Anti-dilution formula
- Share vote
- Valuation

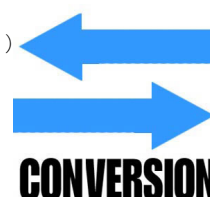


Negotiating the Term Sheet

Background: Converting Preferred to Common

❖ Converting Preferred to Common

- ❑ **Mandatory:** The conversion of preferred stock into common stock is often a prerequisite for an IPO. The conversion implies that preferred shareholders will give up all the rights and preferences associated with preferred stocks.
 - Conversion is usually a physical exercise—cancelling the preferred stock certificate in exchange for a common stock certificate
- ❑ **Elective:** Preferred shares are convertible at any time at the election of the holder (voluntary).
 - Distribution and voting before the conversion: participate on an as-if-converted basis.
- ❑ **Conversion price**
 - Usually on a 1:1 basis (the conversion ratio = $\frac{\text{Purchase Price}}{\text{Conversion Price}}$)
 - Subject to anti-dilution adjustment
- ❑ **Automatic conversion** (mandatory)
 - The occurrence of an IPO (if it is big enough)
 - Majority or super-majority vote by preferred shareholders



Negotiating the Term Sheet

The Liquidation Preference

- The liquidation preference
 - ❑ A tool that enables favorable treatment for preferred shareholders. It is invoked upon any sale or merger (and upon a liquidation or wind-up scenario)
 - ❑ It is intended to protect investors from the downside where the selling price is less than the aggregate of all investments
- Important components of the liquidation preference clause
 - ❑ Multiple of the value of the initial investment that preferred shareholders will receive (usually 1x, but may be 2x-3x in a down round financing)
 - ❑ Three flavors: "participating," "non-participating" and "capped"



Negotiating the Term Sheet

The Liquidation Preference



- Different Flavors of Liquidation Preferences
 - **Participating preferred:** Where the investor first recovers its defined preference (usually 1x the original principal invested), and after the preference has been paid out in full, also “participates” in any remaining distribution of proceeds side-by-side with the common stockholders on a “common equivalent share” basis
 - i.e., no investment decision is required whether to convert preferred stock into common stock prior to the transaction—the preferred stock gets the best of all worlds (i.e., both its stated liquidation preference AND its participation in the proceeds distributed to the common stock AS IF the preferred stock had converted)

Negotiating the Term Sheet

The Liquidation Preference



- Different flavors of liquidation preferences
 - **Non-participating preferred:** Where the investor is only permitted the return of the defined liquidation preference; any remaining proceeds are distributed to the common stockholders alone
 - The investor must decide whether to remain with the preferred stock, or to convert to common stock—an investment decision whether to convert IS required (i.e., will the shareholder receive more by NOT converting the preferred into common)
 - An investor may push for a lower valuation if it is accepting a non-participating preferred (vs. full participation rights)

Negotiating the Term Sheet

Different Flavors of Liquidation Preferences



- The **capped participating structure**: Where the investor is permitted first the return of the full defined liquidation preference, and thereafter a shared participation right with any remaining distribution to the common stockholders, but capped at a specific amount
 - e.g., “liquidation preference is paid first in full, then any remaining proceeds distributed pro rata side by side with the common until preferred holder has received total distributions up to 2x the original investment amount, then no further distributions”
 - An investment decision whether to convert out to common stock IS required (i.e., will the shareholder receive more by NOT converting the preferred into common)

Negotiating the Term Sheet

One other key term involving the liquidation preference

- When there are two or more series of Preferred:



- Is one series “**senior**” to another? If so, the liquidation preference of the senior series is fulfilled first. Only after the senior series is paid out is the subordinate, or junior, series considered next.
 - E.g., Series B is senior to Series A. B has a preference of \$10M, A has a preference of \$5M. Company is sold for \$8M. B gets the \$8M, A gets \$0.
- Are the series “**pari passu**” (i.e., “on parity”) with each other? If so, then the liquidation preferences are fulfilled together, pro rated on the basis of the aggregate amount of the preference of each series.

Negotiating the Term Sheet

The Liquidation Preference

- The VCs are suddenly everybody's friend...
 - 10 years ago, the dominant default was to a **fully participating** preferred by 98% of the venture community
 - Today, things are different:

Participation Rights	All Series B and Later	Just Rounds with Post-\$ of \$700M+
None	76%	88%
Yes, but w/ cap	11%	4%
Full	13%	8%

Source: Wilson Sonsini Goodrich & Rosati

Negotiating the Term Sheet

The Liquidation Preference

- ❖ Example:
 - HiTech Inc. receives and accepts an offer to be acquired for \$30 million
 - HiTech capital structure
 - 6 million shares of common stock
 - 2 million outstanding stock options for common stock — all options are "under water" (i.e., exercise price > value)
 - 4 million shares of preferred stock (\$2 per share; 1x liquidation preference; convertible 1:1 into common stock at the holder's election)
 - Calculation
 - Participating preferred stock
 - Non-participating
 - Capped participation right (2x cap)
 - See appendix



LIQUIDATION EVENT
 Fully participating preferred shares: $8 + 0.4 \times 22 = 16.8\text{M}$
 Non-participating preferred shares:
 - Do not convert: 8M
 - Convert $0.4 \times 30 = 12\text{M}$
 Capped participation (2x Capped)
 - Convert = 12M
 - Do not convert = $8\text{M} + 0.4 \times 22$ as long as it is $\leq 16\text{M}$

Negotiating the Term Sheet

Key Term: The Liquidation Preference

Company Value	De Facto % Ownership of Investor		
	Current Facial Ownership: 4 million of 10 million outstanding shares: 40%		
	1x Participating	1x Non-Participating	2x Cap Participating
\$4M	100%	100%	100%
\$8M	100%	100%	100%
\$10M	88%	80%	88%
\$20M	64%	40%	64%
\$30M	56%	40%	53%
\$40M	52%	40%	40%
\$50M	50%	40%	40%
\$100M	45%	40%	40%
\$150M	43%	40%	40%

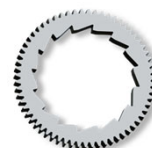
■ Note:

- Assumption is that investor buys 4m shares @ \$2/Share A share, total investment of \$8m. Equates to 40% ownership.
- When company value is equal to \$30M:
- the de facto ownership of investor with 1x participating liquidation preference is $(\$8M + 40\% \times \$22M) / \$30M = 56\%$;
- the de facto ownership of investor with 1x non-participating liquidation preference is $\$30M \times 40\% / \$30M = 40\%$;
- the de facto ownership of investor with 2X Capped Participation is $\$8M + 40\% \times \$22M \leq \$16M / \$30M = 53\%$

Negotiating the Term Sheet

Anti-Dilution Protection

- Types of dilution revisited
 - Transaction-based dilution
 - Price-based dilution
- Anti-dilution protection
 - Protects existing investors from financial dilution experienced when a company issues new securities at a lower price than that paid by the existing investors
 - The anti-dilution protection is effected through an adjustment to the conversion price, which will in turn affect the conversion ratio (= Purchase Price/Conversion Price)
- Different flavored formulas
 - "Full ratchet"
 - Narrow-based weighted average formula
 - Broad-based weighted average formula



Negotiating the Term Sheet

Anti-Dilution Protection

❖ Example: HiTech, Inc.

□ Capitalization

Categories of Stock		Number
Common Stock	texto	3,000,000
Options Grants and Reserve	1,000,000 outstanding option grants	
Series A Preferred		2,000,000
Total		6,000,000

□ Existing Financing: Series A Round of Financing

- "A" Preferred @ \$1.00/share = \$2,000,000 total
- "A" Preferred = 33% of the fully diluted capital
- Conversion price = \$1.00/share (convertible on a 1:1 basis)

□ Proposed Financing: Series B Round of Financing

- "B" Preferred @ \$0.50/share = \$1,000,000 total
- Series B wants 25% of HiTech (\$1,000,000 on a post-\$ valuation of \$4,000,000)



Negotiating the Term Sheet

Transaction vs. Price Dilution Revisited

I. Founders Common Shares
3,000,000 shares @ \$0.01/share = \$30,000

II. Investors Series A Preferred Shares
2,000,000 shares @ \$1.00/share = \$2,000,000

III. Investors Series B Preferred Shares
2,000,000 shares @ \$0.50/share = \$1,000,000

HIGH TECH INC.

I. Following the incorporation, Founders own 100%

II. Post Series A

High-tech Valuation: \$6,000,000

Founders own $\frac{3,000,000}{6,000,000} = 50\%$

Value of Founders' Shares = \$3,000,000

Transaction Dilution

III. Post Series B

High-tech Valuation: \$4,000,000

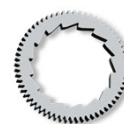
Founders own $\frac{3,000,000}{8,000,000} = 37.5\%$

Value of Founders' Shares = \$1,500,000

Price Dilution + Transaction Dilution

Negotiating the Term Sheet

Anti-Dilution Protection



- **"Full-Ratchet"** (i.e., simple and complete revision to conversion price)
 - Revised conversion price resulting from the Series B deal: \$0.50/share
 - Conversion ratio: \$1.00/\$0.50 = 2 shares of common for 1 share of preferred
 - Thus, 2,000,000 Series A Preferred shares become convertible to 4,000,000 common shares
 - Capitalization after Series B financing

Categories of Stock	Actual Number of Shares	Number of Shares (as-if-converted to common)	% of Ownership
Common Stock	3,000,000	3,000,000	30%
Option Grants and Reserve	1,000,000 outstanding option grants	1,000,000	10%
Series A Preferred	2,000,000	4,000,000	40%
Series B Preferred	2,000,000	2,000,000	20%
Total	8,000,000	10,000,000	100%

Negotiating the Term Sheet

The Anti-Dilution Protection

- **"Narrow-based"** Anti-dilution Protection
 - Revised conversion price = $\text{Conversion Price} \times \frac{\left(\frac{\# \text{ of existing series of Preferred shares} + \frac{\text{New investment}}{\text{old share price}} \right)}{\left(\frac{\# \text{ of existing series of Preferred shares} + \frac{\text{New investment}}{\text{new share price}} \right)}$

Note: applying the old price, i.e., the \$1.00 price for the Series A; and the new price of the most current series, i.e., the \$0.50 price for the Series B, is crucial to the way the formula works.

$$\$1.00 \times \left(\frac{2,000,000 + \frac{\$1,000,000}{\$1.00}}{2,000,000 + \frac{\$1,000,000}{\$0.50}} \right) = \$1.00 \times \left(\frac{2,000,000 + 1,000,000}{2,000,000 + 2,000,000} \right) = \$0.75/\text{share}$$
 - Conversion ratio: \$1.00/\$0.75 = 1.33
 - Thus, 2,000,000 Series A Preferred shares become convertible to 2,666,667 common shares
 - Capitalization after Series B financing:

Categories of Stock	Actual Number of Shares	Number of Shares (as-if-converted to common)	% of Ownership
Common Stock	3,000,000	3,000,000	34.6%
Option Grants and Reserve	1,000,000 outstanding option grants	1,000,000	11.5%
Series A Preferred	2,000,000	2,666,667	30.8%
Series B Preferred	2,000,000	2,000,000	23.1%
Total	8,000,000	8,666,667	100%

Negotiating the Term Sheet

The Anti-Dilution Protection

- **"Broad-based"** Anti-dilution Protection

- Revised conversion price = $\text{Conversion Price} \times \frac{\text{New investment} + \text{old share price}}{\text{New investment} + \text{new share price}}$ (Note: reserve for future option grants should be excluded; but outstanding grants should be included)

$$\$1.00 \times \left(\frac{6,000,000 + \frac{\$1,000,000}{\$1.00}}{6,000,000 + \frac{\$1,000,000}{\$0.50}} \right) = \$1.00 \times \left(\frac{6,000,000 + 1,000,000}{6,000,000 + 2,000,000} \right) = \$0.875/\text{share}$$

- Conversion ratio: $\$1.00/\$0.875 = 1.143$
- Thus, 2,000,000 Series A Preferred shares become convertible to 2,285,714 common shares
- Capitalization after Series B financing

Categories of Stock	Actual Number of Shares	Number of Shares (as-if-converted to common)	% of Ownership
Common Stock	3,000,000	3,000,000	36.2%
Option Grants and Reserve	1,000,000 outstanding option grants	1,000,000	12.1%
Series A Preferred	2,000,000	2,285,714	27.6%
Series B Preferred	2,000,000	2,000,000	24.1%
Total	8,000,000	8,285,714	100%

Negotiating the Term Sheet

The Anti-Dilution Protection

- **"NO"** Anti-dilution Protection

- Capitalization after Series B financing

Categories of Stock	Actual Number of Shares	Number of Shares (as-if-converted to common)	% of Ownership
Common Stock	3,000,000	3,000,000	37.5%
Option Grants and Reserve	1,000,000 outstanding option grants	1,000,000	12.5%
Series A Preferred	2,000,000	2,000,000	25.0%
Series B Preferred	2,000,000	2,000,000	25.0%
Total	8,000,000	8,000,000	100%

Negotiating the Term Sheet

The Anti-Dilution Protection

- Comparison among different scenarios

Scenarios	% of Ownership of Preferred A Shareholders (as-if-converted)	% of Ownership of Preferred B Shareholders (as-if-converted)	% of Ownership of Common Shareholders (w/o options)
Before Series B Financing	33.3%	N/A	66.7%
After Series B Financing			
Full Ratchet	40.0%	20.0%	30.0%
Narrow-based	30.8%	23.1%	34.6%
Broad-based	27.6%	24.1%	36.2%
No Protection	25.0%	25.0%	37.5%

Key Term Conventions in Term Sheets

Compiled from the WSGR Entrepreneurs Report for 1H 2020

Red arrow denotes key conventions for "up" rounds.

	2015 All Rounds	2016 All Rounds	2017 All Rounds	2018 All Rounds	2019 All Rounds	Q1 2020 All Rounds	2015 Up Rounds	2016 Up Rounds	2017 Up Rounds	2018 Up Rounds	2019 Up Rounds	Q1 2020 Up Rounds	2015 Down Rounds	2016 Down Rounds	2017 Down Rounds	2018 Down Rounds	2019 Down Rounds	Q1 2020 Down Rounds
Liquidation Preferences - Series B and Later																		
Senior	33%	38%	35%	31%	35%	34%	31%	36%	31%	28%	34%	35%	41%	63%	36%	63%	N/A	
Part Pass with Other Preferred	62%	57%	62%	69%	63%	66%	66%	62%	66%	72%	68%	66%	52%	45%	38%	64%	37%	N/A
Junior	1%	1%	0%	0%	1%	0%	1%	0%	0%	0%	1%	0%	0%	5%	0%	0%	0%	N/A
Complex	2%	4%	3%	0%	2%	0%	1%	2%	4%	0%	2%	0%	12%	9%	0%	0%	0%	N/A
Participating vs. Non-participating																		
Participating - Cap	8%	9%	9%	5%	5%	1%	11%	10%	7%	5%	5%	0%	12%	22%	31%	7%	5%	N/A
Participating - No Cap	11%	11%	10%	7%	10%	12%	12%	13%	11%	7%	15%	16%	35%	4%	19%	14%	32%	N/A
Non-participating	81%	81%	84%	88%	85%	87%	77%	77%	82%	88%	83%	84%	52%	74%	50%	79%	63%	N/A
Dividends																		
Yes, Cumulative	2%	6%	7%	7%	5%	10%	3%	7%	0%	9%	6%	13%	24%	22%	13%	23%	11%	N/A
Yes, Non-cumulative	82%	73%	78%	61%	58%	32%	86%	78%	78%	62%	0%	21%	78%	70%	81%	68%	79%	N/A
None	15%	21%	16%	32%	39%	58%	11%	15%	13%	29%	28%	67%	0%	9%	6%	8%	11%	N/A
Anti-dilution Provisions																		
Weighted Average - Broad	80%	92%	94%	94%	94%	96%	86%	82%	98%	94%	99%	100%	75%	91%	100%	100%	89%	N/A
Weighted Average - Narrow	12%	1%	2%	2%	0%	0%	12%	1%	1%	3%	0%	0%	19%	0%	0%	0%	5%	N/A
Ratchet	1%	1%	0%	0%	0%	0%	1%	2%	0%	0%	0%	0%	0%	0%	0%	0%	5%	N/A
Other (including Blend)	1%	3%	1%	1%	1%	1%	1%	3%	1%	1%	0%	0%	0%	9%	0%	0%	0%	N/A
None	5%	3%	3%	3%	4%	3%	1%	2%	1%	2%	1%	0%	6%	0%	0%	0%	0%	N/A
Pay to Play - Series B and Later																		
Applicable to This Financing	5%	5%	2%	4%	2%	7%	3%	3%	2%	1%	1%	8%	18%	9%	8%	0%	16%	N/A
Applicable to Future Financings	1%	1%	0%	1%	1%	3%	0%	1%	0%	1%	1%	0%	12%	0%	0%	0%	0%	N/A
None	94%	94%	98%	95%	97%	90%	97%	96%	98%	97%	99%	92%	71%	91%	94%	100%	84%	N/A

Negotiating the Term Sheet

Founders and Employees Related

- The size of stock option pool
 - Based on the company's headcount requirements over a 12-18 month period — normally about a 20% component for the early stage startup
 - Fundamental to the valuation discussion, because a stock option pool usually is so significant as a component of the capitalization
- Vesting arrangement for founders
 - Most VC's will refuse to invest unless a substantial portion of founders' stock is subject to standard vesting
- Contractual protections for founders
 - Founders sometimes want protection against involuntary termination of employment, or termination without cause.
 - VC's want "no fault" provisions for termination of employment, i.e. founders can be fired for any reason. Therefore, founders employment should be "at will"; and if terminated, there should be no severance, no acceleration of unvested shares

Negotiating the Term Sheet

Investor Related

- A term sheet often contains a number of investor-specific, option-like rights:
 - Redemption rights: Right to demand that the firm repurchase any or all of the VC's shares, typically at liquidation value or fair market value
 - Pre-emptive rights: Right of existing investors to buy pro-rata shares in the next round of financing
 - Right of first refusal: Right of existing investors (and the company) to buy shares proposed to be sold by other shareholders (e.g., founders or employees) to other parties.
 - Co-sale rights: Right of investors to sell their shares on the same terms as the founders on a pro-rata basis

Clause	Option Type	Buyer	Seller	Consequences
Redemption Rights	Put option	The Company	Existing Investors	Liquidity (sooner)
Pre-emptive Right	Call option	Existing Investors	The Company	Maintain Ownership
First Right of Refusal	Call option	Existing Investors (sometimes the company)	Other Shareholders (founders/employees)	The Same or Higher Ownership
Co-Sale Rights	Put Option	Third Party	Existing Investors	Lower Ownership

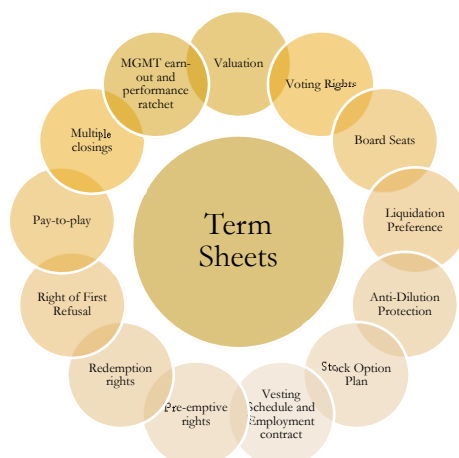
Negotiating the Term Sheet

Contingency Related



- Investment-based
 - Minimum to close and multiple closings (closing in tranches)
 - Staging the investment based on performance of the start-up company
 - "Pay to play" provision
 - Compels participation by existing investors in future rounds only where valuation has declined
 - **Pay to play isn't used for "up round" financings**
 - "Carrot and Stick" approach
 - Carrot: Highly favorable new series of senior preferred for those investors making additional investment
 - Stick: Forced conversion to common (or other unnatural acts) if investors decline to make additional investment
 - Pay to play is to be distinguished from "preemptive right," where purchase by existing shareholders is discretionary

Takeaway



Your Questions?

